Controlling MNCs

Exam code: 9BS0

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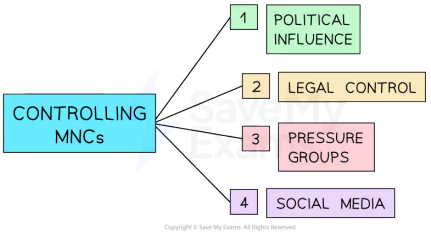
Updated on 8 September 2025

Factors to consider when managing multinational corporations

- Both governments of **LEDCs** and **MEDCs** find it difficult to manage multinational corporations (MNCs)
  - MEDCs often benefit from the profits of MNCs, and these firms carry significant **political influence** on government policy
  - LEDCs often have **key decision makers (autocratic rulers)** who receive payment for access to the country's resources
  - It is important to control the activities of MNCs so as to **enhance the benefits** and **reduce the disadvantages** of what they offer

Controlling MNCs



Factors to consider when controlling MNCs

Political influence

- **Political institutions enforce laws and regulations** that businesses need to adhere to
- When MNCs establish themselves in a new country, they must work within the **institutional framework** of that country
- MNCs in developed countries are often able to **exert pressure on national governments** through **lobbying** to create favourable conditions for their business
  - Another common issue occurs if **politicians occupy roles on the board of directors** for an MNC after retiring in return for reducing political control on the MNC whilst the politician is in power

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    - **Bribes** may be paid to secure lucrative contracts

Legal control

- Governments can **enforce legislation and regulations** to control the operations of MNCs
    - The European Union (EU) has the Competition Commission, which protects producers and consumers from **anticompetitive or unfair practices**
        - Google was fined 2.24bn euros by the EU Competition Commission for **abusing its market dominance** in the search engine market

- Governments want to attract MNCs to help boost their economy, so **creating legal control in areas relating to taxes and employment** ensures stability for the MNC
    - E.g. prior to Brexit, MNCs were attracted by the stability of the UK economy, and it also offered them access to the full EU marketplace

Pressure groups

- Pressure groups are organisations that **operate to influence company and public policy** in the interest of a particular cause
- Pressure groups can operate on a **national or international scale**
    - Save the Arctic campaigned for Lego not to sell its products at Shell petrol stations
    - Greenpeace campaigned for Kimberly-Clark (the manufacturer of products such as Kleenex and Huggies) to dispose of its products in a sustainable way

- **Pressure groups can take action** in different forms, such as:
    - **Naming and shaming**
    - **Direct action**
        - E.g. protests, strikes and boycotting products

    - **Lobbying** by taking issues directly to the government

- There are also pressure groups that **work on behalf of MNCs**, such as the **Confederation of British Industry (CBI)**
    - The CBI speaks and lobbies the government on behalf of member businesses

Social media

- Social media involves the interaction of people via electronic devices using social media platforms
- **MNCs can use social media to their advantage** to spread awareness and promote their business on a global scale
    - However, social media also enables stakeholders to freely share information about the unethical behaviour of MNCs
    - MNCs are forced to **address the issues** raised on social media, as there is a **high level of public exposure**, so information spreads rapidly

- E.g. the Chinese and Russian governments closely monitor social media to regulate information being spread

Examiner Tips and Tricks

In Paper 1, when assessing the best way to control the actions of an MNC, you must consider the advantages and disadvantages of the different methods. When evaluating, you should also consider the most effective method within the context of the business in the extract. E.g. How large is the business? How well established is it? What is the reputation of the MNC in other countries?

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